

ESG REGULATORY BRIEFING • SEPTEMBER 2026

ESG Regulation and Consumer Packaged Goods

What's changing, what it costs, and exactly when it lands

7-MINUTE BRIEFING

EU • UK • US

SOURCING → SHELF

Why This Matters Now

CPG sits at the intersection of every major ESG regime — sourcing, packaging, disclosure, and marketing claims all converge on the same shelf.

19 days

to the next binding deadline — the EU's green-claims rules apply 27 Sep 2026

12+

overlapping ESG regimes now live or landing across the EU, UK and US

2026–2029

the compliance window CPG supply chains and retailers must plan across



Deforestation

EUDR: commodities & traceability



Reporting & Diligence

CSRD & CSDDD after Omnibus



Packaging & EPR

PPWR, UK pEPR & Plastic Tax



US Divergence

SEC retreat vs. California advance



Green Claims

EU EmpCo & FTC Green Guides

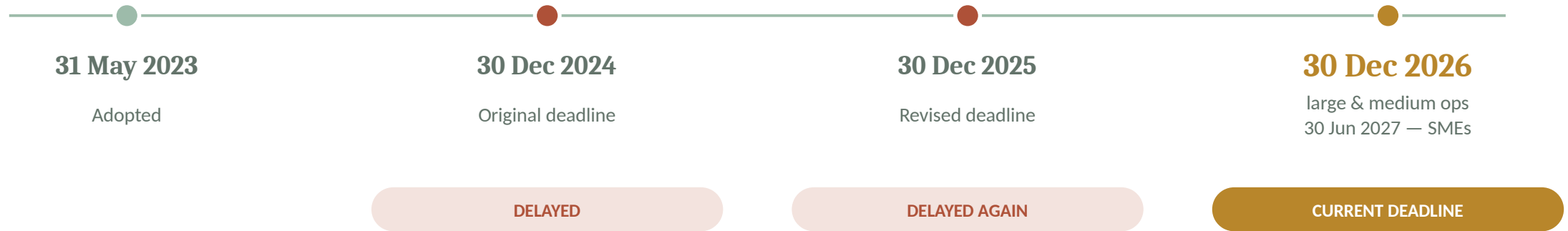


Calendar & Takeaways

Full timeline + 5 points for consultants

EUDR — EU Deforestation Regulation

Regulation (EU) 2023/1115, as amended by Regulation (EU) 2025/2650



Commodities & derived products in scope:

Cattle

Cocoa

Coffee

Palm Oil

Rubber

Soy

Wood

The requirement

Every operator must prove — via plot-level geolocation coordinates and a due-diligence statement — that goods were produced on land that has not been deforested or degraded since 31 December 2020.

The relief

The Commission's May 2026 review estimates the 2025–26 simplifications cut compliance costs by roughly 75% vs. the original design. SME primary operators in low-risk countries now get a one-off simplified declaration instead of full due diligence.

Palm Oil: Meeting the Deforestation Bar

Why it's under the microscope

Palm oil is EUDR's single most-scrutinized commodity — present in roughly half of all packaged products, and the crop most associated with tropical land clearing in Indonesia and Malaysia.

Certification alone doesn't clear the bar: EUDR needs plot-level geolocation on top of any sustainability label.

Alternatives that can pass the rule



RSPO Segregated / Identity-Preserved palm oil

The necessary foundation — but still needs plot-level geolocation layered on top to satisfy EUDR itself.



Algae- & fermentation-derived oils

Bio-manufactured, zero agricultural land footprint. C16 Biosciences ("Palmless") and Corbion are scaling supply now.



High-oleic sunflower & rapeseed blends

Interesterified processing gets close to palm's functional profile. Nestlé has reformulated 1,400+ products since 2020.



Shea-based cocoa butter equivalents

Blended with sal, mango kernel or illipe — the fastest-growing CBE segment for chocolate and personal care.

Proof point: Unilever confirmed in Jan 2025 that 100% of the palm oil in its European personal & home care products is now deforestation-free certified or replaced.

CSRD & CSDDD After the Omnibus Rewrite



CSRD — Sustainability Reporting

- Wave 1 (>500 employees): reporting since FY2024, filed 2025 — continues
- Omnibus I (Directive (EU) 2026/470) entered into force 18 Mar 2026
- New scope: >1,000 employees AND >€450m turnover (both required)
- Remaining Wave 2/3 report FY2027 data — first filings due 2028
- Non-EU groups (>€450m EU turnover): FY2028 data, due 2029



CSDDD — Supply Chain Due Diligence

- Also rewritten by the same Omnibus I directive, 2026/470
- Member states must transpose the directive by 26 Jul 2028
- Substantive requirements apply from 26 Jul 2029
- Scope narrowed; EU-wide harmonized civil liability rule removed
- Due diligence now anchored on “reasonably available” tier-1 data

1,073 → 320

ESRS datapoints under the simplified standard EFRAG drafted
Dec 2025

~80% fewer

companies now in mandatory CSRD
scope than under the 2022 text

Packaging Rules Tighten

PPWR (EU) · Extended Producer Responsibility (UK) · Plastic Packaging Tax (UK)



PPWR

Regulation (EU) 2025/40

Applies 12 Aug 2026

- Declaration of Conformity required for all packaging placed on the EU market
- PFAS banned in food-contact packaging above 25/250 ppb thresholds
- Recycled-content & recyclability grading phase in from Jan 2030



UK pEPR

Extended Producer Responsibility

Live since 1 Apr 2025

- First producer invoices issued Oct 2025, covering Apr 2025–Mar 2026
- Fees start “eco-modulating” by recyclability from Oct 2026
- Mandatory digital waste-tracking rollout begins Oct 2026



UK Plastic Tax

Plastic Packaging Tax

£228.82/tonne from 1 Apr 2026

- Applies to packaging containing under 30% recycled content
- Up from £223.69 in 2025 — the fifth straight annual rise
- From Apr 2027, only post-consumer recycle counts toward the 30%

Federal Retreat, State Advance



FEDERAL

SEC Climate Disclosure Rule

- Adopted 6 Mar 2024, stayed within a month
- SEC proposed full rescission 3 Jun 2026; comments closed 3 Aug 2026
- Final rescission unlikely before late 2026 / early 2027 — the rule has never been enforced

FTC Green Guides

- Review reopened Dec 2022 — still not finalized as of 2026



CALIFORNIA

SB253 — Climate Corporate Data Accountability Act

- Applies to entities >\$1B revenue doing business in California
- Scope 1–2 deadline now targeted for 10 Nov 2026 (CARB-proposed, moved from 10 Aug 2026)
- Scope 3 reporting begins 2027

SB261 — Climate-Related Financial Risk Act

- Applies to entities >\$500M revenue; enforcement enjoined by the 9th Circuit since 18 Nov 2025, pending appeal

Multi-market retailers are increasingly building compliance to the EU / California bar rather than waiting on federal rulemaking.

Green Claims Face a New Bar

27 SEP 2026

19 days from today



EU Green Claims Directive

European Commission announced intent to withdraw on 20 Jun 2025. Not formally dead — but the process hasn't moved since.

STALLED



EU Empowering Consumers Directive (EmpCo)

Bans vague, unsubstantiated claims and offset-based “climate neutral” labels. Fines run up to 4% of annual turnover.

BINDING — 27 SEP 2026



FTC Green Guides (US)

Review reopened Dec 2022 to address recyclability & degradability claims — still not finalized as of 2026.

STALLED

DON'T MISS A DATE

The Compliance Calendar: What Lands When

NEXT 12 MONTHS

27 Sep 2026

EU green-claims rules (EmpCo) apply across all member states

1 Oct 2026

UK pEPR fee eco-modulation basis begins (2025 packaging data)

10 Nov 2026

California SB253 Scope 1–2 deadline (CARB-proposed)

30 Dec 2026

EUDR deadline for large & medium operators

2027 – 2030

18 Feb 2027

EU Battery Passport mandatory — first Digital Product Passport category live

30 Jun 2027

EUDR deadline for SMEs & micro-enterprises

2027

CSRD Wave 2/3 fiscal year begins; SB253 Scope 3 reporting begins

26 Jul 2028

CSDDD transposition deadline for EU member states

26 Jul 2029

CSDDD substantive requirements apply to largest companies

Jan 2030

PPWR recycled-content & recyclability-grading mandates begin

Ingredients & Products Under the Most Pressure

Ingredient / Product	Regulatory Driver	One-Line Alternative Approach
Palm oil	EUDR	RSPO-segregated + geolocation, or shift to algae/fermentation or high-oleic blends
Cocoa	EUDR + price volatility	Certified deforestation-free origin, blended with palm-free CBEs to stretch supply
Coffee	EUDR	Direct-trade, geo-traceable smallholder sourcing over blended-origin beans
Soy (feed & food)	EUDR	Certified deforestation-free / Cerrado-protected soy, or EU-grown peas & rapeseed meal
Cattle & leather	EUDR	Traceable herd registries, or mycelium- and cactus-based leather alternatives
Natural rubber	EUDR	GPSNR-aligned certified smallholder rubber, or guayule-based synthetic blends
Wood fibre & pulp	EUDR + PPWR	FSC/PEFC chain-of-custody fibre with geolocation data layered in
Virgin plastic packaging	PPWR + Plastic Tax + pEPR	≥30% recycled content (rPET/rHDPE) or mono-material redesign
Cotton (textiles/wipes)	Emerging due-diligence pressure	Certified organic/regenerative or recycled cotton, farm-level traceability

5 Things to Keep in Mind When Strategizing for Retailers

1

Map exposure before you pitch a program — Confirm which thresholds each client's suppliers actually cross — headcount, turnover, commodity mix — before recommending a build.

2

Design for the rule as amended, not as announced — EUDR has slipped twice and CSRD's scope shrank ~80% under Omnibus. Build flexible data systems, not fixes tied to one draft.

3

Turn mandatory traceability into shelf advantage — The geolocation and passport data retailers must collect anyway can become supplier scorecards and premium-tier claims.

4

Sequence the calendar by revenue-at-risk — Deadlines land in rapid succession through 2029 — triage clients by exposure, not by alphabetical regulation name.

5

Build to the strictest market you touch — With US federal rules stalling while the EU and California tighten, one EU-grade program usually covers most markets at once.

Thank you — questions & discussion. Full sources and speaking notes are in the companion presenter's guide.